8-PAGE CASE STUDY

UPI Transaction Failure & Recovery

From payment uncertainty to resolution

PRODUCT
PhonePe consumer UPI app

PERSPECTIVE
Payer

SCOPE
Domestic UPI / India

EXECUTIVE SUMMARY

This teardown examines how PhonePe communicates UPI transaction outcomes and guides payer recovery across P2P beneficiary-credit issues and P2M merchant/order scenarios. It combines PhonePe Help screenshots (3 Nov 2026), selected successful transaction and support screens inspected (10-11 Nov 2026), and official RBI, NPCI and PhonePe documents. The inspected successful P2P/P2M journeys already expose transaction references, payment details, receipt sharing and support access. PhonePe Help also provides issue-specific recovery instructions. The clearest product opportunity is narrower: make the distinction between payment completion and order/booking confirmation more visible in the P2M transaction context, then test whether this improves comprehension and correct next-action selection.

01

Existing recovery exists

UTR, receipt sharing and issue-specific support were present in the selected successful flows.

02

Three scenarios differ

P2P beneficiary credit, P2M merchant confirmation and P2M order confirmation are not interchangeable.

03

Opportunity is testable

Contextual clarity and support-path discovery should be tested, not asserted as proven defects.

Research status: desk research and limited interface inspection. No user interviews, comprehension testing, experiment, production analytics or backend investigation were conducted. Proposed benefits are unvalidated.

Research question & methodology

A payer-centred teardown of selected domestic UPI recovery journeys. The work combines structured Help review, limited live successful-transaction inspection, and official-document review.

Primary research question

How does PhonePe communicate domestic UPI transaction outcomes and guide payer recovery in P2P beneficiary-credit and P2M merchant/order-confirmation scenarios, and what evidence-supported opportunities could improve clarity and access to the appropriate next step?

Three situations under investigation

P2P

Payer debited; beneficiary account not credited.

P2M / PAYMENT

Payer debited; transaction confirmation not received at merchant location.

P2M / ORDER

Payment is successful; order, booking or service is not confirmed.

Scope boundaries

IN SCOPE

- Payer-facing domestic UPI in PhonePe; P2P and P2M.
- Help guidance on pending, failed, refund, UTR and merchant/order issues.
- Selected successful transaction screens and visible support interactions.
- Scenario-specific RBI TAT and official grievance context.

OUT OF SCOPE

- Backend/network root-cause diagnosis.
- PhonePe-wide or UPI-wide failure-rate estimates.
- Actual customer confusion or repeat-payment frequency without user/event data.
- Merchant settlement, acquiring or order-system state without records.

Research activities completed

Activity	Material reviewed	What it supports / cannot support
Help Centre review	Screenshots collected 3 Nov 2026.	Supports what inspected Help content states; not actual bank processing or article freshness beyond capture.
Successful P2P/P2M inspection	Selected transaction details and support interactions, 10-11 Nov 2026.	Supports visible details and routes on inspected screens; not live pending/failed behaviour or submitted complaint outcomes.
Official-source review	RBI circular (2019), NPCI UPI HELP guidelines (2023), PhonePe policy V10 (2026), RBI IOS FAQ (2026).	Supports the named documents' content and scope; not legal advice or proof of individual case compliance.
Evidence/claim mapping	Canonical evidence workbook with Claim Map and Open Gaps.	Supports traceability; original source metadata remains incomplete for some captures.

Evidence rule: distinguish direct screen observation, source-attributed Help/policy statements, interpretation/hypothesis and recommendation. Use “PhonePe Help states…” for Help claims; do not present the wording as independently measured operating performance.

Three workflows - three different incidents

The same visible payment status can lead to different next steps. These are analytical payer journeys, not a claim about PhonePe backend architecture.

P2P / FUNDS TRANSFER

Payer debited; beneficiary not credited

Initiate P2P transfer → App displays status → Verify debit and beneficiary credit → If unresolved: UTR + bank / support

Keep a generic Pending status separate from a confirmed debit-without-credit incident. Do not assume that a Pending label proves the beneficiary was not credited.

P2M / PAYMENT CONFIRMATION

Payer debited; transaction confirmation not received at merchant location

Initiate merchant payment → Payer account debited → Merchant-location confirmation absent → Check exact incident; follow payment route

This is the specific RBI-defined merchant-payment failure scenario. It is not automatically the same as an order or booking not confirmed after a successful payment.

P2M / ORDER OR BOOKING

Payment successful; order or booking not confirmed

Payment shown Successful → Order / booking not confirmed → Contact merchant for order/service → Follow merchant resolution / refund

PhonePe Help directs the payer to the merchant for order/booking issues. Do not automatically apply the RBI T+5 payment-confirmation rule to this scenario.

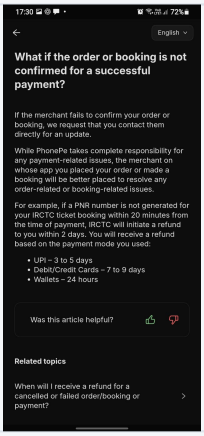
Key distinction: Payment completion, transaction confirmation at the merchant location, order acceptance and service fulfilment are different states. Route the issue based on the state that is actually uncertain.

What PhonePe already provides

Selected successful transaction screens and support interactions were inspected. Help Centre screenshots are dated 3 Nov 2026; live successful transaction/support inspections were reported on 10-11 Nov 2026.

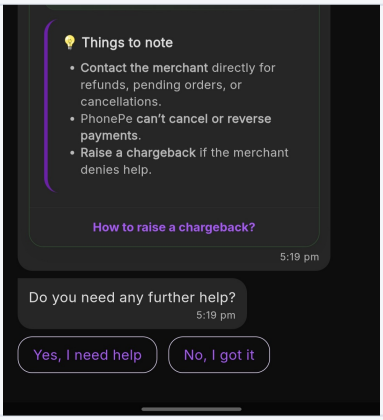
Inspected area	Observed in the selected journey
Successful P2P transaction	“Transaction Successful”; UTR/reference, recipient and payment details, receipt sharing and support access were reported visible.
P2P support	Recipient/bank context and issue suggestions included “amount not credited to a specific user”; a bank-dispute route was visible. No complaint was submitted.
Successful P2M transaction	Successful status, UTR/reference, payment details, receipt sharing and support access were reported visible. No explicit order-confirmation distinction was visible on that screen.
P2M support	Transaction context (amount/date/time) appeared with guidance to contact merchant for refunds, pending orders or cancellations; chargeback help was linked. “Successfully processed” did not establish dispute resolution.

PHONEPE HELP / ORDER GUIDANCE



E-023 | Help article separates successful payment from order/booking confirmation.

LIVE P2M SUPPORT CONVERSATION



Observed support guidance and “Do you need any further help?” prompt. This is not proof of a complaint ID or a resolved payment dispute.

What is already present: transaction proof, UTR/reference, receipt sharing and access to issue-specific support. The teardown therefore does not recommend adding these as new features. The remaining question is whether the right route and explanation are sufficiently visible at the moment they are needed.

Evidence: E-002 (legacy outgoing P2P screen note; filename/date mapping unconfirmed); E-006 to E-028 (PhonePe Help articles); current live inspection notes in P2P/P2M transaction audit documents. App version, OS and complete screenshot mapping were not captured for the live successful transaction inspections.

Four findings from the teardown

Each finding is bounded by what the evidence can support. “High” refers to source support for the statement, not broad user impact.

01 Transaction proof and support are already exposed

Evidence: The selected successful P2P/P2M screens showed transaction reference/UTR, payment details, receipt sharing and support access.

Product implication: Do not propose a new UTR field, receipt-sharing capability or generic support entry point. Test whether existing options are findable and used correctly.

Trace: E-001/E-002 legacy screen notes; current P2P/P2M audit notes | Confidence: High for inspected screens only

02 Pending status and refund are separate events

Evidence: PhonePe Help describes up to 48 hours for final-status update and 3-5 days from payment date for relevant failed-UPI refunds; it also describes UTR/bank follow-up.

Product implication: Potential test: do payers distinguish status update timing from refund timing? Current evidence does not show users misunderstand them.

Trace: E-007, E-008, E-013, E-014, E-015, E-025, E-026 | Confidence: High for Help wording; user comprehension untested

03 PhonePe Help separates merchant receipt disputes from order issues

Evidence: The merchant-dispute article says Successful follows confirmation that money reached the merchant and directs a receipt dispute to Report Issue. The order/booking article directs the payer to the merchant.

Product implication: Keep payment-receipt disputes and order/booking fulfilment in separate support paths; do not label every order problem as a failed payment.

Trace: E-021, E-023; RBI scenario E-029 | Confidence: High for Help wording; merchant state not independently observed

04 The selected successful P2M screen did not visibly show the order distinction

Evidence: No explicit payment-versus-order explanation was visible on the one successful P2M transaction details screen inspected, although Help explains it separately.

Product implication: Test a concise, contextual explanation and shortcut to the existing merchant-payment versus order/booking support routes. This is screen-specific, not proof that the distinction is absent elsewhere.

Trace: P2M_Successful_Transaction_Audit.md; E-021, E-023 | Confidence: Moderate; one inspected screen

Consolidated problem opportunity
Test whether making payment completion versus order/booking confirmation more explicit in the P2M transaction context improves comprehension and selection of the right existing support path.

UPI recovery is an ecosystem responsibility

PhonePe is a TPAP for UPI in partnership with banks and NPCI. Responsibility varies by incident; the app is not the payer's or beneficiary's bank.

RBI
Regulation, payment-system directions and grievance framework.

NPCI
UPI network/scheme institution; publishes operating and UPI HELP guidance.

Banks
Payer-side debit record; beneficiary-bank credit/reversal responsibilities vary by incident.

PhonePe
TPAP/app interface and customer grievance entry points.

Merchant
Order acceptance, booking, fulfilment and merchant-led refund issues.

Defined UPI incident	RBI circular action	Compensation
P2P: account debited; beneficiary account not credited (funds transfer).	If unable to credit, beneficiary bank auto-reverses latest by T+1 day.	₹100 per day beyond T+1.
P2M: account debited; transaction confirmation not received at merchant location.	Auto-reversal within T+5 days.	₹100 per day beyond T+5.

Scope guardrail: T is the calendar transaction date. The prescribed TAT is an outer limit. The circular says compensation, where applicable, is credited automatically without waiting for a customer complaint. Do not apply T+5 to a successful payment with an unconfirmed order/booking.

PhonePe grievance process and RBI framework

PHONEPE POLICY V10 | 16 JUL 2026

PhonePe identifies itself as a TPAP for UPI. Its published customer policy states a first response within 24 hours; Level 1 aims to resolve within 15 days; Level 2 aims within 7 business days; Level 3 aims within 7 business days, subject to policy notes and dependencies.

Its explicit Level 4 RBI Ombudsman route is scoped to PhonePe PPIs (Wallet, Gift Cards and NCMC), not all UPI complaints.

RBI IOS 2026 | EFFECTIVE 1 JUL 2026

The current scheme replaces RBI IOS 2021 and covers specified regulated entities, including banks and certain non-bank PPI issuers. A complainant must first approach the relevant regulated entity; eligibility and timing rules apply.

For a bank-side UPI complaint, assess the relevant bank and scheme conditions; do not infer a universal RBI Ombudsman route against PhonePe from its PPI policy section.

Official sources checked 11 Nov 2026

[1] RBI Circular RBI/2019-20/67 (20 Sep 2019)
[2] NPCI UPI HELP Brand Guidelines (Jul 2023)
[3] PhonePe Grievance Policy, Version 10 (16 Jul 2026)
[4] RBI Integrated Ombudsman Scheme 2026 FAQ (1 Jul 2026)

Prioritised opportunities

Recommendations were revised after the actual interface audit. Existing transaction-proof and support capabilities are not presented as new features.

PRIORITY 1 / TEST FIRST

Make payment completion and order confirmation distinct in context

Observed basis: The selected successful P2M transaction screen did not visibly explain the payment-versus-order distinction. PhonePe Help explains that Successful means PhonePe has received confirmation that the money reached the merchant, while order/service confirmation is separate.

ILLUSTRATIVE CONCEPT - NOT EXISTING UI

PAYMENT STATUS

Successful

PhonePe has received confirmation that the payment reached the merchant. This does not confirm that your order or booking has been accepted.

Merchant disputes payment receipt? Report payment issue

Order / booking not confirmed? Contact merchant

Expected benefit: Help payers distinguish a payment-receipt issue from an order/booking issue and find the existing route. This benefit is hypothetical until tested.

PRIORITY 2 / VALIDATE

Improve discoverability of existing recovery routes

Test whether payers can find the correct existing options for P2P amount-not-credited, P2M merchant payment-receipt disputes and P2M order/booking issues. Do not assume discoverability is poor before task-based testing.

DO NOT RE-RECOMMEND

Capabilities already observed

- UTR / transaction reference visibility
- Receipt sharing
- Support entry point and issue-specific routes

How success should be measured

Metric	Purpose
Primary: Correct Next-Action Rate	Share of eligible participants selecting the appropriate next step for the scenario.
Supporting: Payment-Status Comprehension	Correct explanation of what the displayed Successful status means in the presented scenario.
Supporting: Support-Path Selection Accuracy	Share selecting the correct existing route for payment dispute vs order/booking issue.
Guardrails	Incorrect repeat-payment intention; incorrect order/payment classification. Intention is not actual duplicate payment.

Priority rationale: improve contextual understanding first; only redesign support discovery after evidence shows where users fail or hesitate.

Test before rollout

The research supports a proposal for further testing, not a claim that the proposed change works or that users currently misunderstand the experience.

Proposed validation sequence

1

Comprehension test

Show the current P2M screen and ask what Successful confirms and what it does not confirm.

2

Task-based route selection

Give separate scenarios: merchant disputes payment receipt; order/booking not confirmed. Ask participants to choose the appropriate route.

3

Compare concepts

Control: current inspected experience. Treatment: contextual payment/order explanation plus shortcuts to existing routes.

4

Decide with guardrails

Use pre-defined meaningful effect, sample size, thresholds, exclusion and stopping rules before analysing results.

Decision rules

Result	Decision
Primary metric improves meaningfully; guardrails remain within pre-set limits.	Consider a larger or production validation step.
Primary improves but a guardrail worsens beyond its limit.	Do not roll out; investigate and revise.
No meaningful primary improvement.	Revisit problem framing or treatment.
Results are imprecise / inconclusive.	Collect more evidence; do not declare success.

LIMITATIONS

- No live pending/failed transaction screen was inspected.
- No user interviews, usability/comprehension tests or experiment were conducted.
- No internal PhonePe transaction, support or merchant-confirmation data was available.
- No complaint was submitted; complaint ID and end-to-end tracking were not verified.
- App version, device/OS and complete source metadata were not consistently captured.
- Merchant-side credit and order-system state were not independently observed.

CONCLUSION

PhonePe already exposes substantial transaction information and recovery support in the selected successful-payment journeys. The most defensible opportunity is narrow: test whether the P2M transaction experience should make payment completion versus order/booking confirmation more explicit and help users reach the appropriate existing support route.

The recommended next step is a controlled comprehension and usability study. Do not claim current user confusion, duplicate-payment behaviour or causal product impact without evidence.

Reference set: RBI Circular RBI/2019-20/67 (20 Sep 2019); NPCI UPI HELP Brand Guidelines (Jul 2023); PhonePe Grievance Policy V10 (16 Jul 2026); RBI Integrated Ombudsman Scheme 2026 FAQ (1 Jul 2026). Full URLs are linked on Page 6. Evidence IDs E-006 to E-031 are in the project Evidence Register.